CASCADIA ANALYTICS

Amazon.com, Inc.

Equity Research Note | AMZN | 30 OCTOBER 2026

AWS reacceleration is real

Amazon.com, Inc. screens as a Hold, Valuation Concerns with a $189.89 blended target, 22% below the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$243.79	$189.89	-22%	HOLD, VALUATION CONCERNS

Investment Thesis

The price demands perfection. AWS is reaccelerating (37% growth in Q2 2026, the fastest in 18 quarters) on a contracted backlog that more than doubled to $496B, while the $220B AI capex cycle holds reported free cash flow below the earnings power the build is creating. Our DCF base is $191.20 against a $243.79 reference price, with only the bull case ($257.70) above the price: the market prices roughly 14% terminal FCF margins against the 10.5% we model. Hold, Valuation Concerns

- AWS reacceleration is real
- The capex cycle masks the earnings power
- The price demands perfection

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The latest print

The capex cycle masks the earnings power. TTM operating cash flow is $161.4B (+33%) while FCF is -$7.6B; the $220B AI build is the entire debate. FY2025 still delivered $80.0B operating income at an 11.2% margin.

The price demands perfection. Our DCF base is $191.20 vs $243.79 spot; only the bull case ($257.70) sits above the price, 6% higher. The market prices ~14% terminal FCF margins; we model 10.5%. Hold, Valuation Concerns.

$775.7B	$42.2B	$496B	$161.4B	-$7.6B	$66.11B net debt
REVENUE (LTM)	AWS Q2-2026 REVENUE	AWS CONTRACTED BACKLOG	OPERATING CASH FLOW (TTM)	FREE CASH FLOW (TTM)	NET DEBT POSITION

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (LTM)	$775.7B	+12% FY25	Up
AWS Q2-2026 revenue	$42.2B	+37% YoY	Up
AWS contracted backlog	$496B	More than doubled	Up
Operating cash flow (TTM)	$161.4B	+33% YoY	Up
Free cash flow (TTM)	-$7.6B	AI capex cycle	Down
Net Debt Position	$66.11B net debt	$180.3B debt / $114.2B cash	Stable

The moat

AWS AI supercycle: Q2 2026 revenue $42.2B, up 37% YoY, the fastest growth in 18 quarters; contracted backlog more than doubled to $496B. Compute scarcity reprices the incumbent's fleet higher.

The growth engine

Talen Energy $1.8B nuclear acquisition secures grid-independent power, turning data center build moratoriums into a moat against tier-two cloud providers.

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Amazon.com, Inc. valuation framework · Generated 30 October 2026
Current version: cascadia.jda-properties.com/#/ticker/AMZN

Three scenarios make the valuation range explicit

Three scenarios frame the range; the blended target balances the three outcomes.

SCENARIO	2027-31 CAGR	2031 REVENUE	2031 EBIT MARGIN	TARGET	UPSIDE
Bear	7.0%	$1,087.96B	13.5%	**$119.45**	-51%
Base	11.0%	$1,307.10B	16.5%	**$191.20**	-22%
Bull	15.0%	$1,560.21B	18.0%	**$257.70**	+6%

Bear: downside case at $119.45 (-51%).

Base: central case at $191.20 (-22%).

Bull: upside case at $257.70 (+6%).

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The probability-blended target implies 22% downside

The blended target implies -22% from the $243.79 reference price, balancing the Bear, Base and Bull outcomes in the scenario matrix.

$189.89
BLENDED TARGET

The valuation uses a five-year discounted cash flow framework (FY2027-2031) across three scenarios. Discount rates are market-implied and updated from live market inputs. The scenario matrix states each scenario's growth and margin posture and its outputs: horizon revenue, enterprise value, equity value and target.

Terminal value is struck on a normalized terminal year, because the explicit forecast still carries the AI buildout. The Base terminal EBIT margin of 16.5% (Bull 18.0%) sits above Amazon's filed peak operating margin of 11.2% (FY2025); the step-up is our AWS-mix judgment, and it is the judgment a reader should stress first: if the mix shift disappoints, the Base target falls materially.

Reference price	**$243.79**
Bear target	**$119.45**
Base target	**$191.20**
Bull target	**$257.70**
Blended target	**$189.89**
Terminal value share of Base enterprise value	**82.5%**

HOLD, VALUATION CONCERNS | $189.89 BLENDED TARGET | WEN

The reverse DCF: what the market prices in

The market-implied revenue CAGR is 21.6%, above Bull (15%) — euphoric.

Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR. The highlighted row sits nearest the market-implied CAGR.

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CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
-20%	$439.4B	$34.15	+0%	$1123.7B	$96.77	+20%	$2562.5B	$228.42
-19%	$461.7B	$36.20	+1%	$1174.1B	$101.39	+21%	$2662.8B	$237.60
-18%	$485.1B	$38.34	+2%	$1226.5B	$106.17	**+22%**	**$2766.3B**	**$247.07**
-17%	$509.5B	$40.57	+3%	$1280.8B	$111.14	+23%	$2873.2B	$256.85
-16%	$535.0B	$42.91	+4%	$1337.1B	$116.29	+24%	$2983.4B	$266.93
-15%	$561.6B	$45.34	+5%	$1395.4B	$121.63	+25%	$3097.1B	$277.34
-14%	$589.4B	$47.88	+6%	$1455.9B	$127.17	+26%	$3214.4B	$288.06
-13%	$618.4B	$50.53	+7%	$1518.6B	$132.91	+27%	$3335.2B	$299.12
-12%	$648.6B	$53.30	+8%	$1583.6B	$138.85	+28%	$3459.8B	$310.52
-11%	$680.1B	$56.18	+9%	$1650.9B	$145.00	+29%	$3588.2B	$322.27
-10%	$712.9B	$59.18	+10%	$1720.5B	$151.38	+30%	$3720.5B	$334.38
-9%	$747.1B	$62.31	+11%	$1792.6B	$157.97	+31%	$3856.8B	$346.85
-8%	$782.7B	$65.57	+12%	$1867.2B	$164.80	+32%	$3997.2B	$359.69
-7%	$819.7B	$68.96	+13%	$1944.4B	$171.86	+33%	$4141.7B	$372.91
-6%	$858.3B	$72.48	+14%	$2024.2B	$179.16	+34%	$4290.5B	$386.53
-5%	$898.4B	$76.15	+15%	$2106.7B	$186.72	+35%	$4443.6B	$400.54
-4%	$940.0B	$79.96	+16%	$2192.0B	$194.52	+36%	$4601.2B	$414.96
-3%	$983.4B	$83.93	+17%	$2280.2B	$202.59	+37%	$4763.3B	$429.79
-2%	$1028.4B	$88.05	+18%	$2371.3B	$210.92	+38%	$4930.1B	$445.05
-1%	$1075.2B	$92.33	+19%	$2465.3B	$219.53			

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

SCENARIO	ENTERPRISE VALUE	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$1,371.60B	-$66.11B	$1,305.49B	**$119.45**
Base	$2,155.76B	-$66.11B	$2,089.65B	**$191.20**
Bull	$2,882.49B	-$66.11B	$2,816.38B	**$257.70**

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Terminal value share

We disclose how much of each scenario value sits in the terminal year. Terminal value is 82.5% of Base enterprise value (Bear 88.0%, Bull 80.6%). A high terminal share means the target rests primarily on the terminal-year economics in the scenario matrix rather than on the explicit forecast years, and we weigh it accordingly in the investment view.

Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2027	2028	2029	2030	2031
Bear	$119.45	$131.45	$147.97	$161.55	$172.58	$180.03
Base	$191.20	$210.42	$233.97	$252.63	$264.29	$272.29
Bull	$257.70	$283.60	$312.10	$335.39	$350.53	$360.57

Competitive moat and concentration risk

We rate the moat as Narrow and we view the market structure as Oligopoly (cloud + e-commerce). We assign a premium of +10% to sector median multiples on moat strength alone.

- AWS breadth + logistics/Prime ecosystem, 240+ services, 120 availability zones (2025 coverage), and AWS Q1 2025 operating margin 39.5%, its highest since at least 2014 .
- AWS Q1 2025 revenue $29.3bn (+17% YoY) at a 39.5% operating margin (Zacks via TradingView, Jul 2025), that margin at that scale is the pricing-power fact. Offsetting it, retail remains a low-margin pass-through and AWS growth lagged both hyperscaler rivals through 2025.
- The weakest element is regulatory exposure plus share loss at the margin, Azure grew ~39% and Google Cloud ~48% YoY in Q4 2025 vs AWS ~24% (2025/2026 coverage), and the FTC antitrust suit (filed Sep 2023, trial postponed to 2027 per 2025 coverage) overhangs marketplace practices. A moat that is simultaneously being litigated and outgrown in its highest-margin segment does not earn Wide.

On a multiple cross-check, the justified range is 13.0-14.3x / 17.4-19.1x. The cross-check value is $182-$199 vs Base $194.15, spot $249.97, on a base of Framework base from the October 27 moat report. The gap verdict is In part only, trivially (~9% of gap at top); market already pays more (spot P/E 24.0x).

Backlog is $496bn performance obligations over 1 year, 30 Jun 2026, with coverage of 7.7 months consolidated, 35.2 months on AWS annualised run rate and visibility rated High on AWS lens, Medium consolidated. On backlog alone, the stance is Supports.

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We score concentration and credit risk across seven families, where a High score is 8 points, a Medium score is 4 points, and a Low score is 1 point.

Risk family	Score
customer concentration	1 points
counterparty credit and funding dependence	1 points
single product, single program, or single platform dependency	1 points
single supplier, single fab, or single geography exposure	4 points
platform, channel, or distribution dependency	4 points
customer insourcing risk	1 points
regulatory single point risk	4 points

The combined discount is 16 percent, capped at 20 percent, against an uncapped total of 16 percent. Shown side by side with the moat premium or discount, the net stance is -6 pp points arithmetically. We do not net these figures into a new target, and we do not double count a family excluded under the double-count rule.

The ladder ranks risk coarsely, and because 32 of the 47 names reach the 20 percent cap, the combined discount is not a mechanical valuation haircut until the ladder is recalibrated.

On the gap to spot, the concentration assessment reads as follows. Not at all

Both the moat premium or discount and the concentration discount are multiple and risk cross-checks dated October 27, 2026, and neither figure is in the DCF target itself. Cross-check figures were computed against the Base in the October 27 framework, so they may differ from a live Base that has since moved.

Methodology note. Our valuation framework discounts scenario cash flows at market-implied discount rates updated from live market inputs. The $189.89 headline target is the blended outcome of the Bear, Base and Bull scenarios in the matrix above.

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The franchise deep dive

AWS AI supercycle: Q2 2026 revenue $42.2B, up 37% YoY, the fastest growth in 18 quarters; contracted backlog more than doubled to $496B. Compute scarcity reprices the incumbent's fleet higher.

Talen Energy $1.8B nuclear acquisition secures grid-independent power, turning data center build moratoriums into a moat against tier-two cloud providers.

Advertising $19.8B in Q2, up 26% YoY and outgrowing total sales; the highest-margin growth engine in the portfolio.

Anthropic committed to spend more than $100B with AWS over ten years, locking in contracted demand visibility.

Revenue and margin trend

METRIC	FY22	FY23	FY24	FY25	LTM
Revenue ($B)	514.0	574.8	638.0	716.9	775.7
Revenue growth %	9%	12%	11%	12%	~8%
Operating income ($B)	12.2	36.9	68.6	80.0	n/a
Free cash flow ($B)	n/a	n/a	38.2	11.2	-7.6
AWS revenue growth %	29%	13%	19%	19.7%	37% (Q2)

Valuation cross-check

DCF Base $191.20

DCF Blended $189.89

DCF Bull $257.70

EV/Revenue (LTM) 3.6x

Base case implies 22% downside at $243.79. The bull case sits 6% above spot: the market prices ~14% terminal FCF margins versus our 10.5% base. Valuation is the binding constraint on the rating.

Peer multiples not pulled in this build

Absolute DCF is the binding valuation input; the 22% downside to base stands on its own.

EV/Revenue 3.6x on LTM revenue

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Multiple sits above the historical range for a retailer but below peak cloud multiples; it prices sustained AWS acceleration plus a full capex normalization.

What to monitor

Oct 29, 2026. Q3 earnings. AWS growth rate and the trajectory of 2026 capex ($220B guided) in focus.

Ongoing. AWS capacity additions vs contracted demand; Trainium and Graviton each past $25B annual run rate.

FY26. FCF normalization path as the AI buildout peaks; FY2025 FCF was $11.2B, TTM is -$7.6B.

Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2021	$469.8B	—	$24.9B	—
2022	$514.0B	$225.2B	$12.2B	$38.4B
2023	$574.8B	$270.0B	$36.9B	$89.4B
2024	$638.0B	$311.7B	$68.6B	$123.8B
2025	$716.9B	$360.5B	$80.0B	$165.3B

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2021	$420.5B	—	$138.2B	$36.2B
2022	$462.7B	$316.6B	$146.0B	$53.9B
2023	$527.9B	$326.0B	$201.9B	$73.4B
2024	$624.9B	$338.9B	$286.0B	$78.8B
2025	$818.0B	$407.0B	$411.1B	$86.8B

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Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2021	$46.3B	—	$6.3B	—
2022	$46.8B	$-63.6B	$9.7B	$-16.9B
2023	$84.9B	$-52.7B	$-15.9B	$32.2B
2024	$115.9B	$-83.0B	$-11.8B	$32.9B
2025	$139.5B	$-131.8B	$9.7B	$7.7B

Methodology note. Our valuation framework discounts scenario cash flows at market-implied discount rates updated from live market inputs. The $189.89 headline target is the blended outcome of the Bear, Base and Bull scenarios in the matrix above.

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Agency risk score 53 of 100: balanced, typical corporate alignment

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 8.85% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $402.75M of sales, a net flow of -$402.75M. One-year total shareholder return is +9.4% against CEO total pay of $2.07M (Mr. Andrew R. Jassy), which the model scores as STANDARD CORPORATE.

53
AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	25 / 40	8.85% of shares held by insiders
Form 4 Flow (Conviction Flow)	8 / 30	Buys $0 (0) vs sales $402.75M (23), net -$402.75M, trailing six months
Pay-for-Performance	20 / 30	STANDARD CORPORATE: Market Standard Corporate Governance. 1Y TSR +9.4%; Mr. Andrew R. Jassy, President, CEO & Director, total pay $2.07M
Agency Risk Score	**53 / 100**	Regime: BALANCED / TYPICAL CORPORATE

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Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-10-01	Herrington Douglas J	Officer	SELL	1,000	$251.5K
2026-09-01	Herrington Douglas J	Officer	SELL	1,000	$254.8K
2026-08-24	Zapolsky David A.	Officer	SELL	15,430	$4.00M
2026-08-21	Garman Matthew S	Officer	SELL	14,541	$3.77M
2026-08-21	Herrington Douglas J	Officer	SELL	6,362	$1.65M
2026-08-21	Olsavsky Brian T.	Chief Financial Officer	SELL	6,172	$1.61M
2026-08-21	Jassy Andrew R.	Chief Executive Officer	SELL	20,000	$5.18M
2026-08-21	Reynolds Shelley L	Officer	SELL	2,343	$606.9K

SEC proxy audit, DEF 14A filed 2026-04-09

Alignment grade B. PAY DETAILS NOT DISCLOSED. Andrew R. Jassy, fiscal 2025 vs fiscal 2024; total compensation change year on year: N/A.

BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
N/A	N/A	N/A	N/A

The excerpt outlines Amazon's continued adherence to its long-term equity-weighted compensation philosophy but omits the Summary Compensation Table spanning fiscal 2025. Consequently, quantitative shifts in CEO pay, annual bonus awards, and specific committee adjustments are absent from this section. Governance language indicates ongoing reliance on long-term shareholder alignment rather than short-term cash incentives.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-25 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/1018724/000110465926041026/tm261382-1_def14a.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 30 October 2026 for this note.

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The bear case

AI capex ROI

2026 cash capex guided to $220B (raised from $200B) with TTM FCF at -$7.6B. If AI returns disappoint, the spending is sunk and the multiple compresses.

Elevated expectations

At $243.79 the stock prices ~14% terminal FCF margins, well above our 10.5% base case. Any AWS deceleration or margin stall would likely trigger a sharp derating from 3.6x EV/Revenue.

Regulatory overhang

FTC ad-pricing lawsuit alleges inflated seller fees; advertising (+26% YoY, ~$20B/quarter) is the highest-margin growth engine and the case could take years to resolve.

The strengths

Operating Quality

AWS reaccelerating (37%, fastest in 18 quarters), ads +26%, TTM operating cash flow $161.4B (+33%). Offset: company is FCF-negative (-$7.6B TTM) at the peak of a $220B AI capex cycle, and consolidated margins still lean on AWS to carry thin retail.

Recent Trend

AWS growth has climbed five straight quarters (16.9% to 37%); contracted backlog more than doubled to $496B; Q2 revenue $200.6B with operating income guide-up. FY2025 delivered $716.9B revenue (+12%) and $80.0B operating income (11.2% margin).

Forward Growth

AI compute scarcity favors the scaled incumbent; the Talen nuclear deal buys grid independence; Anthropic's $100B+ ten-year AWS commitment locks in demand; advertising grows 26% at very high margins. Structural multi-year drivers across all three profit engines.

Valuation

DCF base $191.20 vs $243.79 spot implies 22% downside; only the bull case ($257.70) sits above the price. The market is pricing ~14% terminal FCF margins versus our 10.5% base, leaving no room for capex overruns or AWS deceleration.

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Cascadia scorecard

Composite score 64: Fair. Confidence High, as of 23-Oct-2026.

PILLAR	RATIONALE	SCORE
Operating Quality	AWS reaccelerating (37%, fastest in 18 quarters), ads +26%, TTM operating cash flow $161.4B (+33%). Offset: company is FCF-negative (-$7.6B TTM) at the peak of a $220B AI capex cycle, and consolidated margins still lean on AWS to carry thin retail.	72
Recent Trend	AWS growth has climbed five straight quarters (16.9% to 37%); contracted backlog more than doubled to $496B; Q2 revenue $200.6B with operating income guide-up. FY2025 delivered $716.9B revenue (+12%) and $80.0B operating income (11.2% margin).	78
Forward Growth	AI compute scarcity favors the scaled incumbent; the Talen nuclear deal buys grid independence; Anthropic's $100B+ ten-year AWS commitment locks in demand; advertising grows 26% at very high margins. Structural multi-year drivers across all three profit engines.	80
Valuation	DCF base $191.20 vs $243.79 spot implies 22% downside; only the bull case ($257.70) sits above the price. The market is pricing ~14% terminal FCF margins versus our 10.5% base, leaving no room for capex overruns or AWS deceleration.	35
Catalysts & Risk	Q3 print on Oct 29, 2026 is the near-term test of AWS momentum vs capex. Key risks: $220B AI capex must earn returns, the FTC ad-pricing lawsuit overhangs the fastest-growing profit pool, and the multiple derates sharply on any guide-down.	60

Investment view

AWS growth holding above 35% with 2026 capex peaking at or below the $220B guide would support a higher target. A capex guide-up paired with AWS decelerating below 25% would break the margin-expansion case and cut the target further.

Investment view: Hold, Valuation Concerns. The $189.89 blended target implies -22%, balancing the $119.45 / $191.20 / $257.70 Bear / Base / Bull outcomes.

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